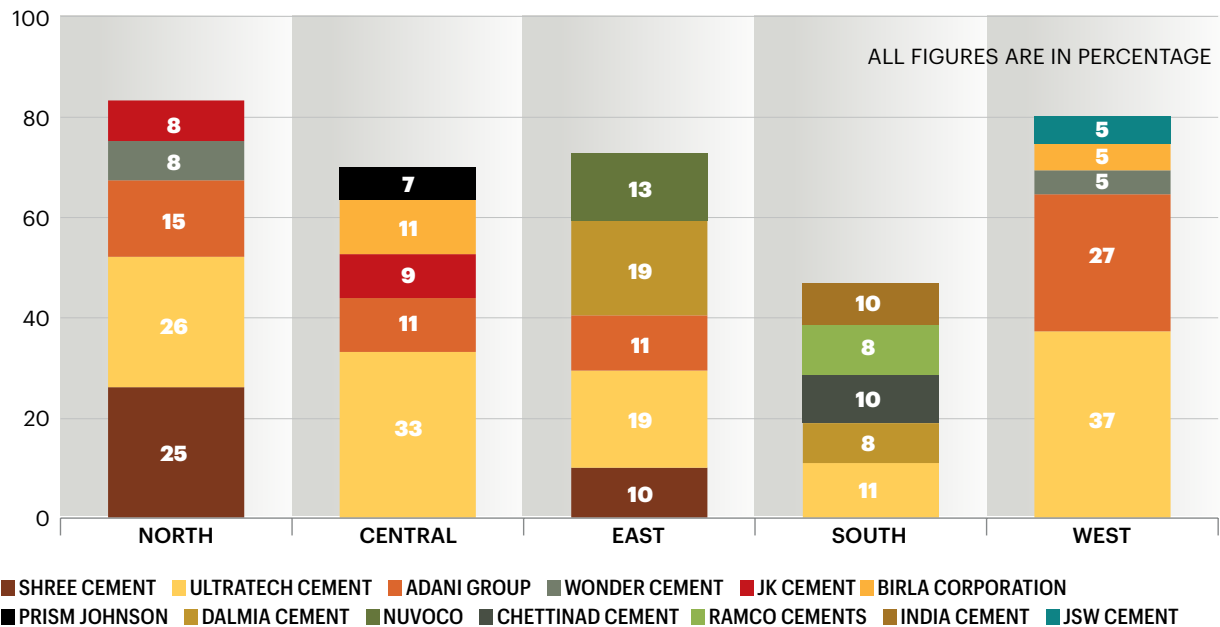


DEDCODING THE REGIONS

● North, Central, and West regions are relatively less fragmented markets ● The South has many players with limited market share



MARKET SHARE OF MAJOR CEMENT PLAYERS IN TERMS OF TOTAL INSTALLED CAPACITY; DATA AS OF MARCH 31, 2024  
**SOURCE** ANNUAL REPORTS OF LISTED CEMENT COMPANIES, INVESTOR PRESENTATIONS, ICRA RESEARCH

ing achieved than historical levels.” He reckons the industry will move towards a structure of a few national players, with each region having strong local players. “Each regional cluster will have a structure constituting three to five players as they look to align their strategies.”

UltraTech and Ambuja have pushed hard for assets (Kesoram, Penna, My-Home, India Cements, *see chart on M&A deals*) in the fragmented South. A June ICRA report says India has a total installed capacity of 626 mtpa, with the largest chunk, 188 mtpa, in the South. The anomaly in the South is that the Top 5 players account for 47%; contrast this with the North, where the Top 5 account for 83%. Industry officials estimate the South has at least 45 cement brands, which explains the fragmented market share. Supply is often double the demand, leading to lower capacity utilisation; it is around 60-65% in the South compared

65  
PER CENT  
THE PROPORTION  
OF CEMENT  
DEMAND THAT  
COMES FROM  
RURAL AND URBAN  
HOUSING  
SOURCE ICRA  
RESEARCH

with a national average of close to 75%, with the North at 85%.

The head of a South-based cement maker, who does not wish to be named, points out that it is not evenly distributed even within the southern part of the country. “It could be less than 45% in one part of the region and 90% elsewhere,” he says. For example, around 40 mtpa is located in Karnataka’s Kalaburagi.

The cement maker says not all companies in the South are up for sale. Many are known to be extremely efficient. “In this scenario, M&A becomes a challenging proposition. The valuation gap becomes very wide since the seller often has a huge expectation,” the person points out.

Of course, for every compact efficient player, some struggle to run a profitable operation. “Large players look to acquire them to consolidate their position and gain market share. The recent acquisition costs have been lower than replacement